Apple Inc.

AAPL NASDAQ

Hold	$342.96 ▼ 1.37%	12M Price Target $365.00	52-Week Range $243.42 – $351.73	Market Cap $5.01T

AAPL: Big Puts Rolling In Ahead of Earnings Week

WHAT HAPPENED

- AAPL slipped 1.37% on light volume (~20M vs usual 35-45M) while the Tech sector ETF ripped +1.93% — that's AAPL *underperforming its own sector* by over 300 bps in a single day, which is unusual and worth paying attention to. Translation: tech names rallied, Apple didn't come along for the ride.
- The options tape is screaming caution — someone bought 137,919 puts at the $342.50 strike expiring this week (that's 55x the existing open interest, meaning fresh new bets, not rolls). Put/call ratio of 1.22 means more people are buying downside protection than upside bets. This usually happens right before earnings or when big money expects a specific negative event.

WHY IT MATTERS

Here's what I think is going on: Apple reports earnings next week, and the combination of (1) massive put buying at near-the-money strikes, (2) a cluster of insider sales including the General Counsel/head of Government Affairs, and (3) the stock fading while peers rally — that's three separate "smart money" signals pointing the same direction. The GC/Government Affairs sale is particularly interesting because that's the person who'd know first about any regulatory or trade problems brewing. None of this guarantees a bad print, but when hedge funds pay $14M in premium for one-week puts, they're not doing it for fun. Base case: the stock chops between $335-350 into earnings, and the print itself decides the next $20 move.

POLICY & POLITICAL WATCH

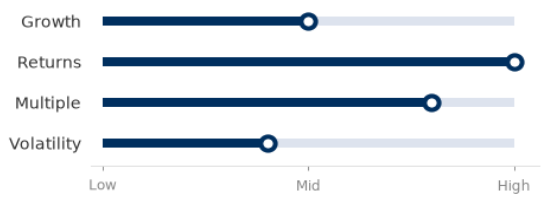
The big one is the ongoing US-China tariff/trade framework — Apple still assembles the vast majority of iPhones in China, and any renewed escalation (or expiration of exemptions on consumer electronics) directly hits gross margins. Also watch the EU Digital Markets Act enforcement actions, which are forcing Apple to open up the App Store in Europe — every forced concession is a small bite out of the Services revenue growth story that justifies the premium multiple. On the friendlier side, the administration's push to re-shore semiconductor production via CHIPS Act funding helps Apple's TSMC Arizona supply (they're the biggest customer), reducing Taiwan-concentration risk over time.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$342.96**
12M Price Target	**$365.00**
Upside / (Downside)	**+6.4%**
Market Cap	**$5.01T**
FY2026E Revenue	**$445M**
FY2027E Revenue	**$478M**
FY2026E EPS	**$7.85**
FY2027E EPS	**$8.60**
Fwd P/E	**43.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$360.00**	$345.00	**$325.00**
6 Months	**$385.00**	$355.00	**$310.00**
1 Year	**$410.00**	$365.00	**$290.00**
2 Years	**$470.00**	$400.00	**$275.00**
5 Years	**$625.00**	$500.00	**$300.00**
10 Years	**$900.00**	$700.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.93%) and Industrials (+1.49%) are leading today — classic "risk-on" move. Energy continues its 5-day run (+2.69%) on supply concerns and policy support for domestic production.

COOLING OFF: Nothing is outright falling, but Consumer Discretionary going negative over 5 days while Tech rallies tells you the market is favoring enterprise/AI tech over consumer-facing names — and Apple is caught between those two categories.

ROTATION WATCH: Money is flowing into AI infrastructure and semis more than into consumer tech hardware. That's why AAPL isn't participating in today's Tech rally — the sector move is being led by names more directly tied to AI capex.

RELATED PLAY: If you want Apple-adjacent exposure without the single-stock earnings risk, TSMC benefits from every iPhone sold AND every AI chip built. Also watch Broadcom (AVGO) — Apple is a huge customer and they're riding the AI wave harder.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI tollbooth — any day Tech rallies, NVDA is leading because the data center build-out is the clearest story in the market.
- MSFT (Microsoft): Enterprise AI monetization through Copilot is the one actually printing revenue, giving it premium-multiple durability.

AAPL CONTEXT: Apple is clearly lagging the mega-cap tech group right now — it's the only one in the "Magnificent 7" that doesn't have a clean AI revenue narrative yet. That's exactly what earnings needs to change. If management can show Apple Intelligence driving upgrade behavior, the stock catches up. If not, it continues to be the laggard of the group and money keeps rotating to NVDA/MSFT/GOOGL.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 4-6% of portfolio (core holding)

Entry Points: $325-335 on tariff/macro pullbacks

Time Horizon: 12-24 months, with earnings next week as near-term catalyst

Thesis Invalidation: iPhone unit sales decline >5% YoY, or China retaliatory ban/tariff on Apple products

Hedging: Buy a cheap put below $330 to protect against earnings disappointment

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